

PROCUREMENT AGREEMENT FOR HVAC EQUIPMENT SUPPLY

This Procurement Agreement ("Agreement") is entered into on 10 May 2026 between CoolAir HVAC Solutions Pvt. Ltd. ("Buyer") and ArcticFlow Industrial Systems ("Vendor"). The purpose of this Agreement is to procure HVAC compressors, ducting materials, and smart temperature control units for commercial building installations.

1. Scope of Supply

Vendor agrees to supply HVAC equipment including compressors, air handling units, copper piping, ducting systems, thermostats, and control units as requested by Buyer under individual purchase orders.

2. Delivery Terms

Vendor shall make commercially reasonable efforts to deliver goods within 90 to 120 days. Delays caused by logistics providers, raw material shortages, or internal operational issues shall not constitute breach of contract.

3. Payment Terms

Buyer shall release payment within 120 days of invoice approval. Vendor shall bear all transaction processing fees and banking charges.

4. Price Adjustment

Vendor reserves the right to revise prices during the contract period due to fluctuations in material costs, currency exchange rates, or market conditions without prior written consent from Buyer.

5. Warranty

Vendor provides a limited warranty of 6 months for supplied equipment. Warranty shall not apply in cases of improper installation, environmental exposure, or third-party modifications.

6. Termination

Buyer may terminate this Agreement at its sole discretion with 7 days notice. Vendor may terminate the Agreement in cases of delayed payment exceeding 45 days.

7. Limitation of Liability

Vendor shall not be liable for indirect, incidental, consequential, or special damages, including loss of revenue, operational downtime, or business interruption.

8. Confidentiality

Both parties agree to maintain confidentiality of technical drawings, pricing data, and procurement strategies shared during execution of this Agreement.

9. Force Majeure

Neither party shall be liable for failure to perform obligations due to natural disasters, labor strikes, pandemics, government restrictions, cyber incidents, or supplier disruptions.

10. Compliance

Vendor shall comply with generally accepted industry practices and applicable regulations. Specific compliance certifications may be submitted upon request by Buyer.

11. Dispute Resolution

Any disputes arising from this Agreement shall first be resolved through negotiation. If unresolved, disputes shall be submitted to arbitration in Mumbai, Maharashtra, India.

12. Governing Law

This Agreement shall be governed under the laws of India.

Embedded Medium-Risk Indicators in this Contract:

- Long payment cycle (120 days)
- Broad force majeure protections
- One-sided termination rights
- Dynamic pricing without approval
- Limited warranty period
- Vendor liability exclusions
- Ambiguous delivery timelines

For CoolAir HVAC Solutions Pvt. Ltd.

For ArcticFlow Industrial Systems

Authorized Signatory

Authorized Signatory